

SENATE No. 750

The Commonwealth of Massachusetts

PRESENTED BY:

Paul R. Feeney

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act establishing uniform enforcement and confidentiality provisions relative to certain licensees under the jurisdiction of the division of banks.

PETITION OF:

NAME:

Paul R. Feeney

DISTRICT/ADDRESS:

Bristol and Norfolk

SENATE No. 750

By Mr. Feeney, a petition (accompanied by bill, Senate, No. 750) of Paul R. Feeney for legislation to establish uniform enforcement and confidentiality provisions relative to certain licensees under the jurisdiction of the division of banks by enforcing fines and penalties for violations. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act establishing uniform enforcement and confidentiality provisions relative to certain licensees under the jurisdiction of the division of banks.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 24D of chapter 93 of the General Laws, as appearing in the 2022
2 Official Edition, is hereby amended by inserting after the word "licensee" in lines 13, 17 and 31,
3 the following words:- or registrant.

4 SECTION 2. Said section 24D of said chapter 93, as so appearing, is hereby further
5 amended by inserting after the word "licensees" in line 36, the following words:- or registrants.

6 SECTION 3. Said chapter 93, as so appearing, is hereby amended by striking out section
7 24F and inserting in place thereof the following section:-

8 Section 24F. The commissioner, or the commissioner's examiners or other assistants as
9 the commissioner may designate, may summon a licensee or registrant, or any of its agents or
10 employees, and other witnesses as necessary, and examine them relative to their transactions,

may require the production of books and papers and, for those purposes may administer oaths. Whoever, without justifiable cause, fails or refuses to appear and testify or to produce books and papers when so required, or obstructs the commissioner or the commissioner's representatives making the examination in the performance of their duties, shall be punished by a fine of not more than \$1,000 or by imprisonment for not more than 6 months, or both. Each day a violation occurs or continues shall be considered a separate offense. The penalty provision of this section shall be in addition to, and not in lieu of, any other provision of law applicable to a licensee or other person for violating section 24A or any rule or regulation made thereunder.

SECTION 4. Said chapter 93, is hereby amended by adding after section 24K the following two sections:-

Section 24L. (a) Whenever the commissioner finds that any licensee or exempt person under section 24A of this chapter has violated any provision of this chapter or any rule or regulation adopted thereunder, or any other law of the Commonwealth applicable to the conduct of the business of a debt collector or a third party loan servicer, the commissioner may, by order, in addition to any other action authorized under this chapter or any rule or regulation made thereunder, impose a penalty upon the person which shall not exceed \$5,000 for each violation, up to a maximum of \$100,000 for the violation plus the costs of investigation. The commissioner may impose a penalty which shall not exceed \$5,000 for each violation of this chapter, or any rule or regulation adopted thereunder, by a person other than a licensee or exempt person under section 24A of this chapter, plus the costs of investigation.

(b) Nothing in this section shall limit the right of any individual or entity who has been injured as a result of any violation of this chapter by a licensee, or any person other than a

licensee or exempt person under section 24A of this chapter, to bring an action to recover damages or restitution in a court of competent jurisdiction.

(c) Any findings or order issued by the commissioner pursuant to this section shall be subject to review as provided in chapter 30A.

Section 24M. (a) Whenever the commissioner determines that any person has, directly or indirectly, violated any section of this chapter or any rule or regulation adopted thereunder, applicable to the conduct of the business of a debt collector or a third party loan servicer; or any order issued by the commissioner under this chapter or any written agreement entered between the licensee and the commissioner; the commissioner may serve upon the person a written notice of intention:

(1) to prohibit the person from performing in the capacity of a principal employee on behalf of any licensee for a period of time that the commissioner deems necessary;

(2) to prohibit the person from applying for or obtaining a license from the commissioner for a period up to 36 months following the effective date of an order issued under subsection (b) or (c); or

(3) to prohibit the person from any further participation, in any manner, in the conduct of the affairs of a debt collector or a third party loan servicer in Massachusetts or to prohibit the person from being employed by, an agent of, or operating on behalf of a licensee under this chapter or any other business which requires a license from the commissioner.

(b) A written notice issued under subsection (a) shall contain a written statement of the facts that support the prohibition and shall give notice of an opportunity for a hearing to be held

thereon. The hearing shall be fixed for a date not more than 30 days after the date of service upon the commissioner of the request for a hearing. If the person fails to submit a request for a hearing within 20 days of service of notice under subsection (a), or otherwise fails to appear in person or by a duly authorized representative, the party shall be deemed to have consented to the issuance of an order of prohibition in accordance with the notice.

(c) In the event of a consent under subsection (b), or if after a hearing the commissioner finds that any of the grounds specified in the notice have been established, the commissioner may issue an order of prohibition in accordance with subsection (a) as the commissioner finds appropriate.

(d) An order issued under subsection (b) or (c) shall be effective upon service upon the person. The commissioner shall also serve a copy of the order upon the licensee of which the person is an employee or on whose behalf the person is performing. The order shall remain in effect and enforceable until it is modified, terminated, suspended, or set aside by the commissioner or a court of competent jurisdiction.

(e) Except as consented to in writing by the commissioner, any person who, pursuant to an order issued under subsection (b) or (c), has been prohibited from participating in whole or in part in the conduct of the affairs of a debt collector or a third party loan servicer in Massachusetts may not, while the order is in effect, continue or commence to perform in the capacity of a principal employee, or otherwise participate in any manner, if so prohibited by order of the commissioner, in the conduct of the affairs of:

(1) any licensee or registrant under this chapter;

(2) any other business which requires a license from the commissioner; and

(3) any bank, as defined under section 1 of chapter 167 or any subsidiary thereof.

SECTION 5. Section 99 of chapter 140 of the General Laws, as so appearing, is hereby amended by striking out section 99 and inserting in place thereof the following section:-

Section 99. A licensee shall, when directed by the commissioner, permit the commissioner or the commissioner's duly authorized representative to inspect its records and evidence of compliance with this chapter or any rule and regulation issued thereunder and with any other law, rule and regulation applicable to the conduct of its business. The commissioner shall preserve a full record of each examination of a licensee including a statement of its condition. All records of investigations and reports of examinations by the commissioner, including workpapers, information derived from the reports or responses to the reports, and any copies thereof in the possession of any licensee under the supervision of the commissioner, shall be confidential and privileged communications, shall not be subject to subpoena and shall not be a public record under clause twenty-sixth of section 7 of chapter 4. For the purpose of this paragraph, records of investigation and reports of examinations shall include records of investigation and reports of examinations conducted by a financial regulatory agency of the federal government and any other state, and of any foreign government which are considered confidential by the agency or foreign government and which are in possession of the commissioner. In any proceeding before a court, the court may issue a protective order to seal the record protecting the confidentiality of any such record, and other than any such record on file with the court or filed in connection with the court proceeding, and the court may exclude the public from any portion of a proceeding at which any such record may be disclosed. Copies of reports of examination shall be furnished to a licensee for its use only and shall not be exhibited to any other person, organization or agency without prior written approval by the commissioner.

The commissioner may, in the commissioner's discretion, furnish to regulatory agencies of the federal government, of other states, or of foreign countries, and any law enforcement agency, the information, reports, inspections and statements relating to the licensees under the commissioner's supervision.

The commissioner may summon licensees, companies or associations, or any of their agents or employees, and other witnesses as necessary, and examine them relative to their transactions and to the condition of their business, and for that purpose may administer oaths. Whoever without justifiable cause refuses to appear and testify when so required, or obstructs the commissioner or the commissioner's representatives in the performance of their duties, shall be punished by a fine of not more than \$1,000 or by imprisonment for not more than 6 months, or both. The penalty provision of this section shall be in addition to, and not in lieu of, any other provision of law applicable to a licensee or other person for violating section 96 or any rule or regulation made thereunder.

SECTION 6. Section 103 of said chapter 140 is hereby amended by striking out section 103, and inserting in place thereof the following three sections:-

Section 103. The commissioner may suspend or revoke any license issued pursuant to section 96 if the commissioner finds that:

(i) the licensee has violated any provision of sections 96 to 114, inclusive, or any rule or regulation made by the commissioner under any provision of sections 96 to 114, inclusive, or any other law applicable to the conduct of the business; or

(ii) any fact or condition exists which, if it had existed at the time of the original application for the license, would have warranted the commissioner in refusing to issue the license.

Except as provided in section 103A, no license shall be revoked or suspended except after notice and a hearing thereon pursuant to chapter 30A.

A licensee may surrender a license by delivering to the commissioner written notice that it thereby surrenders the license, but the surrender shall not affect the civil or criminal liability of the licensee for acts committed before the surrender.

No revocation, suspension or surrender of any license shall impair or affect the obligation of any pre-existing lawful contract between the licensee and any person.

The penalty provision of this section shall be in addition to, and not in lieu of, any other provision of law applicable to a licensee or other person for violating section 96, 97, 98, 100, 101, 102, 104, 106, and 109 or any rule or regulation made thereunder.

Section 103A. (a) If the commissioner determines, after giving notice of an opportunity for a hearing, that a licensee has engaged or is about to engage in an act or practice constituting a violation of a provision of sections 97, 98, 100, 101, 102, 104 or 109, or any rule or regulation made by the commissioner under section 97 or 106, or any other law applicable to the conduct of the business, the commissioner may order the licensee to cease and desist from the unlawful act or practice and take affirmative action as in the commissioner's judgment will effect the purpose of sections 97, 98, 100, 101, 102, 104 or 109, or any rule or regulation made by the commissioner under section 97 or 106, or any other law applicable to the conduct of the business.

(b) If the commissioner makes written findings of fact that the public interest will be irreparably harmed by delay in issuing an order under section (a) the commissioner may issue a temporary cease and desist order. Upon the entry of a temporary cease and desist order, the commissioner shall promptly notify, in writing, the licensee affected thereby that the order has been so entered, the reasons therefor, and that within 20 days after receipt of a written request from the licensee, the matter will be scheduled for a hearing to determine whether or not the temporary order shall become permanent and final. If no hearing is requested and none is ordered by the commissioner, the order shall remain in effect until it is modified or vacated by the commissioner. If a hearing is requested or ordered, the commissioner, after giving notice of and opportunity for a hearing to the licensee subject to the order, shall, by written finding of facts and conclusions of law, vacate, modify or make permanent the order.

(c) No order under this section, except an order issued pursuant to subsection (b), may be entered without prior notice of and opportunity for a hearing. The commissioner may vacate or modify an order under this section upon finding that the conditions which required the an order have changed and that it is in the public interest to so vacate or modify.

Any order issued pursuant to this section shall be subject to review as provided in chapter 30A.

Section 103B. The commissioner may enforce the provisions of section 96 through 114A, or restrain any violations thereof, by filing a civil action in any court of competent jurisdiction.

SECTION 7. Said chapter 140 is hereby amended by adding after section 113 the following two sections:-

Section 113A. (a) Whenever the commissioner finds that any licensee or exempt person under section 96 of this chapter has violated any provision of this chapter or any rule or regulation adopted thereunder, or any other law of the Commonwealth applicable to the conduct of the business of making small loans, the commissioner may, by order, in addition to any other action authorized under this chapter or any rule or regulation made thereunder, impose a penalty upon the person which shall not exceed \$5,000 for each violation, up to a maximum of \$100,000 for the violation plus the costs of investigation. The commissioner may impose a penalty which shall not exceed \$5,000 for each violation of this chapter, or any rule or regulation adopted thereunder, by a person other than a licensee or exempt person under section 96 of this chapter, plus the costs of investigation.

(b) In addition to any other action authorized under this chapter or any rule of regulation made thereunder, a licensee who violates the provisions of section 100 may also be punished by imprisonment for not more than 1 year. Each day the violation occurs or continues shall be deemed a separate offense. Any loan made by any person so licensed in violation of section 100 may be declared void by the supreme judicial or superior court in equity upon petition by the person to whom the loan was made.

(c) Nothing in this section shall limit the right of any individual or entity who has been injured as a result of any violation of this chapter by a licensee, or any person other than a licensee or exempt person under section 96 of this chapter, to bring an action to recover damages or restitution in a court of competent jurisdiction.

(d) Any findings or order issued by the commissioner pursuant to this section shall be subject to review as provided in chapter 30A.

Section 113B. (a) Whenever the commissioner determines that any person has, directly or indirectly, violated any section of this chapter or any rule or regulation adopted thereunder, applicable to the conduct of the business of making small loans; or any order issued by the commissioner under this chapter or any written agreement entered between the licensee and the commissioner; the commissioner may serve upon the person a written notice of intention:

(1) to prohibit the person from performing in the capacity of a principal employee on behalf of any licensee for a period of time that the commissioner deems necessary;

(2) to prohibit the person from applying for or obtaining a license from the commissioner for a period up to 36 months following the effective date of an order issued under subsection (b) or (c); or

(3) to prohibit the person from any further participation, in any manner, in the conduct of the affairs of a business making small loans in Massachusetts or to prohibit the person from being employed by, an agent of, or operating on behalf of a licensee under this chapter or any other business which requires a license from the commissioner.

(b) A written notice issued under subsection (a) shall contain a written statement of the facts that support the prohibition and shall give notice of an opportunity for a hearing to be held thereon. The hearing shall be fixed for a date not more than 30 days after the date of service upon the commissioner of the request for a hearing. If the person fails to submit a request for a hearing within 20 days of service of notice under subsection (a), or otherwise fails to appear in person or by a duly authorized representative, the party shall be deemed to have consented to the issuance of an order of prohibition in accordance with the notice.

(c) In the event of a consent under subsection (b), or if after a hearing the commissioner finds that any of the grounds specified in the notice have been established, the commissioner may issue an order of prohibition in accordance with subsection (a) as the commissioner finds appropriate.

(d) An order issued under subsection (b) or (c) shall be effective upon service upon the person. The commissioner shall also serve a copy of the order upon the licensee of which the person is an employee or on whose behalf the person is performing. The order shall remain in effect and enforceable until it is modified, terminated, suspended, or set aside by the commissioner or a court of competent jurisdiction.

(e) Except as consented to in writing by the commissioner, any person who, pursuant to an order issued under subsection (b) or (c), has been prohibited from participating in whole or in part in the conduct of the affairs of a business making small loans in Massachusetts may not, while the order is in effect, continue or commence to perform in the capacity of a principal employee, or otherwise participate in any manner, if so prohibited by order of the commissioner, in the conduct of the affairs of:

(1) any licensee under this chapter;

(2) any other business which requires a license from the commissioner; and

(3) any bank, as defined under section 1 of chapter 167, or any subsidiary thereof

SECTION 8. Said chapter 140, as so appearing, is hereby amended by striking section 114A and inserting in place thereof the following section:-

Section 114A. A bank as defined in section 1 of chapter 167, a national banking association, a federally chartered credit union, a federal savings and loan association, a federal savings bank, or any subsidiary of the above, or any bank, trust company, savings bank, savings and loan association, or credit union organized under the laws of any other state, or any subsidiary of the above, shall not be subject to the provisions of sections 96 to 114, inclusive; provided, that the institutions may not take, receive, reserve or charge interest, expenses and other considerations for making or securing any loan subject to the provisions of section 96 in excess of those permitted by section 100. Any loan subject to the provisions of section 96 made by any bank as defined in section 1 of chapter 167, a national banking association, a federally-chartered credit union, a federal savings and loan association, a federal savings bank, or any subsidiary of the above, or any bank, trust company, savings bank, savings and loan association, or credit union organized under the laws of any other state on which charges for interest, expenses and other considerations exceed those permitted by section 100 may be declared void by the supreme judicial court or superior court in equity upon petition by the person to whom the loans were made, and any bank as defined section 1 of chapter 167, a national banking association, a federally chartered credit union, a federal savings and loan association, a federal savings bank, or any subsidiary of the above, or any bank, trust company, savings bank, savings and loan association, or credit union organized under the laws of any other state making such a loan shall be subject to a fine of not more than \$1,000.

This section shall not be construed as preventing a rate of charge for interest, expenses and other consideration on 1 or more portions of a loan in excess of the permitted maximum rate of charge applicable to the portion or portions, provided, that the composite rate of charge on the whole loan produces an amount equal to or less than that which would be produced were the

maximum rate of charge applied to the loan. Extension, default or deferment charges shall not be deemed to be interest, expenses and other considerations in determining the maximum rate of charge that may be taken, received, reserved or charged for the loan.

SECTION 9. Section 2 of chapter 169A of the General Laws, as so appearing, is hereby amended, in line 7, by striking out the word “bank.” and inserting in place thereof the words:-
bank or any bank, trust company, savings bank, savings and loan association, or credit union organized under the laws of any other state, or any subsidiary of the above.

SECTION 10. Section 5 of said chapter 169A, as so appearing, is hereby amended by striking out the third and fourth sentences.

SECTION 11. Section 10 of chapter 169A, as so appearing, is hereby amended by adding the following two paragraphs:-

The commissioner shall preserve a full record of each such examination of a licensee including a statement of its condition. All records of investigations and reports of examinations by the commissioner, including workpapers, information derived from such reports or responses to such reports, and any copies thereof in the possession of any licensee under the supervision of the commissioner, shall be confidential and privileged communications, shall not be subject to subpoena and shall not be a public record under clause twenty-sixth of section 7 of chapter 4. For the purpose of this paragraph, records of investigation and reports of examinations shall include records of investigation and reports of examinations conducted by a financial regulatory agency of the federal government and any other state, and of any foreign government which are considered confidential by such agency or foreign government and which are in possession of the commissioner. In any proceeding before a court, the court may issue a protective order to seal the

record protecting the confidentiality of any such record, other than any such record on file with the court or filed in connection with the court proceeding, and the court may exclude the public from any portion of the proceeding at which any such record may be disclosed. Copies of such reports of examination shall be furnished to a licensee for its use only and shall not be exhibited to any other person, organization or agency without prior written approval by the commissioner. The commissioner may, in the commissioner's discretion, furnish to regulatory agencies of the federal government, of other states, or of foreign countries, and any law enforcement agency, such information, reports, inspections and statements relating to the licensees under the commissioner's supervision.

The commissioner, or the commissioner's examiners or such other assistants as the commissioner may designate, may summon the directors, officers or agents of a licensee, or any other witnesses, and examine them relative to the affairs, transactions and condition of the licensee, and, for that purpose, may administer oaths. Whoever, without justifiable cause, refuses to appear and testify when so required or obstructs the person making such examination in the performance of their duty, shall be punished by a fine of not more than \$1,000 or by imprisonment for not more than 1 year.

SECTION 12. Said chapter 169A, as so appearing, is hereby amended by striking out section 13 and inserting in place thereof the following two sections:-

Section 13. (a) Whenever the commissioner finds that any licensee or exempt person under section 2 of this chapter has violated any provision of this chapter or any rule or regulation adopted thereunder, or any other law of the Commonwealth applicable to the conduct of the business of cashing checks, drafts or money orders, the commissioner may, by order, in addition

to any other action authorized under this chapter or any rule or regulation made thereunder, impose a penalty upon such person which shall not exceed \$5,000 for each violation, up to a maximum of \$100,000 for such violation plus the costs of investigation. The commissioner may impose a penalty which shall not exceed \$5,000 for each violation of this chapter, or any rule or regulation adopted thereunder, by a person other than a licensee or exempt person under section 2 of this chapter, plus the costs of investigation.

(b) In addition to any other action authorized under this chapter or any rule of regulation made thereunder, whoever violates any provision of section 2 or any rule or regulation made thereunder by the commissioner may be punished by imprisonment for not more than 6 months. Each day a violation continues shall be deemed a separate offense. The penalty provision of this section shall be in addition to, and not in lieu of, any other provision of law applicable to a licensee or other person for violating section 2 or any rule or regulation made thereunder.

(c) Nothing in this section shall limit the right of any individual or entity who has been injured as a result of any violation of this chapter by a licensee, or any person other than a licensee or exempt person under section 2 of this chapter, to bring an action to recover damages or restitution in a court of competent jurisdiction.

(d) Any findings or order issued by the commissioner pursuant to this section shall be subject to review as provided in chapter 30A.

Section 14. (a) Whenever the commissioner determines that any person has, directly or indirectly, violated any section of this chapter or any rule or regulation adopted thereunder, applicable to the conduct of the business of cashing checks, drafts or money orders; or any order issued by the commissioner under this chapter or any written agreement entered between such

314 licensee and the commissioner; the commissioner may serve upon such person a written notice of
315 intention:

316 (1) to prohibit such person from performing in the capacity of a principal employee on
317 behalf of any licensee for a period of time that the commissioner deems necessary;

318 (2) to prohibit the person from applying for or obtaining a license from the commissioner
319 for a period up to 36 months following the effective date of an order issued under subsection (b)
320 or (c); or

321 (3) to prohibit such person from any further participation, in any manner, in the conduct
322 of the affairs of person or entity engaged in the cashing of checks, drafts or money orders in
323 Massachusetts or to prohibit such person from being employed by, an agent of, or operating on
324 behalf of a licensee under this chapter or any other business which requires a license from the
325 commissioner.

326 (b) A written notice issued under subsection (a) shall contain a written statement of the
327 facts that support the prohibition and shall give notice of an opportunity for a hearing to be held
328 thereon. The hearing shall be fixed for a date not more than 30 days after the date of service upon
329 the commissioner of such request for a hearing. If such person fails to submit a request for a
330 hearing within 20 days of service of notice under subsection (a), or otherwise fails to appear in
331 person or by a duly authorized representative, such party shall be deemed to have consented to
332 the issuance of an order of such prohibition in accordance with the notice.

333 (c) In the event of such consent under subsection (b), or if after a hearing the
334 commissioner finds that any of the grounds specified in such notice have been established, the

commissioner may issue an order of prohibition in accordance with subsection (a) as the commissioner finds appropriate.

(d) An order issued under subsection (b) or (c) shall be effective upon service upon the person. The commissioner shall also serve a copy of the order upon the licensee of which the person is an employee or on whose behalf the person is performing. The order shall remain in effect and enforceable until it is modified, terminated, suspended, or set aside by the commissioner or a court of competent jurisdiction.

(e) Except as consented to in writing by the commissioner, any person who, pursuant to an order issued under subsection (b) or (c), has been prohibited from participating in whole or in part in the conduct of the affairs of a person or entity engaged in the cashing of checks, drafts or money orders in Massachusetts may not, while such order is in effect, continue or commence to perform in the capacity of a principal employee, or otherwise participate in any manner, if so prohibited by order of the commissioner, in the conduct of the affairs of:

(1) any licensee under this chapter;

(2) any other business which requires a license from the commissioner; and

(3) any bank, as defined under section 1 of chapter 167, or any subsidiary thereof.

SECTION 13. Section 1 of chapter 255B of the General Laws, as so appearing, is hereby amended by striking out the definition of "Sales finance company" and inserting in place thereof the following definition:- "Sales finance company", (1) a bank as defined in section 1 of chapter 167, a national banking association, federal savings bank, federal savings and loan association, federal credit union, or any bank, trust company, savings bank, savings and loan association or

credit union organized under the laws of any other state of the United States, or any subsidiary of the above;

(2) any person engaged, in whole or in part, in the business of purchasing retail installment contracts from 1 or more retail sellers; and

(3) a retail seller engaged, in whole or in part, in the business of holding retail installment contracts acquired from retail buyers. The term "sales finance company" does not include the pledgee of an aggregate number of such contracts to secure a bona fide loan thereon.

SECTION 14. Section 2 of said chapter 255B, as so appearing, is hereby amended by striking out the fourth and fifth sentences.

SECTION 15. Section 3 of said chapter 255B, as so appearing, is hereby amended by inserting after the first paragraph the following two paragraphs:-

The commissioner shall preserve a full record of each such examination of a licensee including a statement of its condition. All records of investigations and reports of examinations by the commissioner, including workpapers, information derived from such reports or responses to such reports, and any copies thereof in the possession of any licensee under the supervision of the commissioner, shall be confidential and privileged communications, shall not be subject to subpoena and shall not be a public record under clause twenty-sixth of section 7 of chapter 4. For the purpose of this paragraph, records of investigation and reports of examinations shall include records of investigation and reports of examinations conducted by a financial regulatory agency of the federal government and any other state, and of any foreign government which are considered confidential by such agency or foreign government and which are in possession of the commissioner. In any proceeding before a court, the court may issue a protective order to seal the

378 record protecting the confidentiality of any such record, other than any such record on file with
379 the court or filed in connection with the court proceeding, and the court may exclude the public
380 from any portion of the proceeding at which any such record may be disclosed. Copies of such
381 reports of examination shall be furnished to a licensee for its use only and shall not be exhibited
382 to any other person, organization or agency without prior written approval by the commissioner.
383 The commissioner may, in the commissioner's discretion, furnish to regulatory agencies of the
384 federal government, of other states, or of foreign countries, and any law enforcement agency,
385 such information, reports, inspections and statements relating to the licensees under the
386 commissioner's supervision.

387 The commissioner, or the commissioner's examiners, or such other assistants as the
388 commissioner may designate, may summon the directors, officers or agents of a licensee, or any
389 other witnesses, and examine them relative to the affairs, transactions and condition of the
390 licensee, and, for that purpose, may administer oaths. Whoever, without justifiable cause, refuses
391 to appear and testify when so required or obstructs the person making such examination in the
392 performance of their duty, shall be punished by a fine of not more than \$1,000 or by
393 imprisonment for not more than 1 year.

394 SECTION 16. Section 4 of said chapter 255B, as so appearing, is hereby amended by
395 adding the following sentence:- Each day such violation occurs or continues shall be deemed a
396 separate offense.

397 SECTION 17. Said chapter 255B, as so appearing, is hereby amended by striking out
398 section 7, and inserting in place thereof the following section:-

Section 7. The commissioner may suspend or revoke any license issued pursuant to this chapter if the commissioner finds that:

(i) the licensee has violated any provision of this chapter or any rule or regulation adopted hereunder, or any other law applicable to the conduct of its business; or

(ii) any fact or condition exists which, if it had existed at the time of the original application for such license, would have warranted the commissioner in refusing to issue such license.

Except as provided in section 8, no license shall be revoked or suspended except after notice and a hearing thereon pursuant to 30A.

A licensee may surrender a license by delivering to the commissioner written notice that it thereby surrenders such license, but such surrender shall not affect the civil or criminal liability of the licensee for acts committed before such surrender.

No revocation, suspension or surrender of any license shall impair or affect the obligation of any pre-existing lawful contract between the licensee and any person.

SECTION 18. Said chapter 255B, as so appearing, is hereby amended by striking out section 8 and inserting in place thereof the following two sections:-

Section 8. (a) If the commissioner determines, after giving notice of and opportunity for a hearing, that a licensee has engaged in or is about to engage in an act or practice constituting a violation of a provision of this chapter or a rule, regulation or order hereunder, the commissioner may order such licensee to cease and desist from such unlawful act or practice and take such affirmative action as in the commissioner's judgment will effect the purposes of this chapter.

(b) If the commissioner makes written findings of fact that the public interest will be irreparably harmed by delay in issuing an order under subsection (a) the commissioner may issue a temporary cease and desist order. Upon the entry of a temporary cease and desist order, the commissioner shall promptly notify, in writing, the licensee affected thereby that such order has been so entered, the reasons therefor, and that within 20 days after the receipt of a written request from such licensee, the matter will be scheduled for a hearing to determine whether or not such temporary order shall become permanent and final. If no such hearing is requested and none is ordered by the commissioner, the order shall remain in effect until it is modified or vacated by the commissioner. If a hearing is requested or ordered, the commissioner, after giving notice of and opportunity for a hearing to the licensee subject to the order, shall, by written finding of facts and conclusions of law, vacate, modify or make permanent the order.

(c) No order under this section, except an order issued pursuant to subsection (b), may be entered without prior notice of and opportunity for a hearing. The commissioner may vacate or modify an order under this section upon finding that the conditions which required such an order have changed and that it is in the public interest to so vacate or modify.

Any order issued pursuant to this section shall be subject to review as provided in chapter 30A.

Section 8A. The commissioner may enforce the provisions of this chapter, or restrain any violations thereof, by filing a civil action in any court of competent jurisdiction.

SECTION 19. Said chapter 255B is hereby amended by adding after section 25 the following two sections:-

Section 26. (a) Whenever the commissioner finds that any licensee or exempt person under section 2 of this chapter has violated any provision of this chapter or any rule or regulation adopted thereunder, or any other law of the Commonwealth applicable to the conduct of the business of a sales finance company, the commissioner may, by order, in addition to any other action authorized under this chapter or any rule or regulation made thereunder, impose a penalty upon such person which shall not exceed \$5,000 for each violation, up to a maximum of \$100,000 for such violation plus the costs of investigation. The commissioner may impose a penalty which shall not exceed \$5,000 for each violation of this chapter, or any rule or regulation adopted thereunder, by a person other than a licensee or exempt person under section 2 of this chapter, plus the costs of investigation.

(b) In addition to any other action authorized under this chapter or any rule of regulation made thereunder, whoever violates any provision of this chapter or any rule or regulation made thereunder by the commissioner may also be punished by imprisonment for not more than 6 months. The penalty provision of this section shall be in addition to, and not in lieu of, any other provision of law applicable to a licensee or other person for violating provision of this chapter or any rule or regulation made thereunder.

(c) Nothing in this section shall limit the right of any individual or entity who has been injured as a result of any violation of this chapter by a licensee, or any person other than a licensee or exempt person under section 2 of this chapter, to bring an action to recover damages or restitution in a court of competent jurisdiction.

(d) Any findings or order issued by the commissioner pursuant to this section shall be subject to review as provided in chapter 30A.

Section 27. (a) Whenever the commissioner determines that any person has, directly or indirectly, violated any section of this chapter or any rule or regulation adopted thereunder, applicable to the conduct of the business of a sales finance company; or any order issued by the commissioner under this chapter or any written agreement entered between such licensee and the commissioner; the commissioner may serve upon such person a written notice of intention:

(1) to prohibit such person from performing in the capacity of a principal employee on behalf of any licensee for a period of time that the commissioner deems necessary;

(2) to prohibit the person from applying for or obtaining a license from the commissioner for a period up to 36 months following the effective date of an order issued under subsection (b) or (c); or

(3) to prohibit the person from any further participation, in any manner, in the conduct of the affairs of a sales finance company in Massachusetts or to prohibit the person from being employed by, an agent of, or operating on behalf of a licensee under this chapter or any other business which requires a license from the commissioner.

(b) A written notice issued under subsection (a) shall contain a written statement of the facts that support the prohibition and shall give notice of an opportunity for a hearing to be held thereon. The hearing shall be fixed for a date not more than 30 days after the date of service upon the commissioner of the request for a hearing. If the person fails to submit a request for a hearing within 20 days of service of notice under subsection (a), or otherwise fails to appear in person or by a duly authorized representative, the party shall be deemed to have consented to the issuance of an order of prohibition in accordance with the notice.

(c) In the event of a consent under subsection (b), or if after a hearing the commissioner finds that any of the grounds specified in such notice have been established, the commissioner may issue an order of prohibition in accordance with subsection (a) as the commissioner finds appropriate.

(d) An order issued under subsection (b) or (c) shall be effective upon service upon the person. The commissioner shall also serve a copy of the order upon the licensee of which the person is an employee or on whose behalf the person is performing. The order shall remain in effect and enforceable until it is modified, terminated, suspended, or set aside by the commissioner or a court of competent jurisdiction.

(e) Except as consented to in writing by the commissioner, any person who, pursuant to an order issued under subsection (b) or (c), has been prohibited from participating in whole or in part in the conduct of the affairs of a sales finance company in Massachusetts may not, while the order is in effect, continue or commence to perform in the capacity of a principal employee, or otherwise participate in any manner, if so prohibited by order of the commissioner, in the conduct of the affairs of:

(1) any licensee under this chapter;

(2) any other business which requires a license from the commissioner; and

(3) any bank, as defined under section 1 of chapter 167, or any subsidiary thereof.

SECTION 20. Chapter 255C of the General Laws, as so appearing, is hereby amended by striking out section 2 and inserting in place thereof the following section:-

Section 2. No person, other than a bank as defined in section 1 of chapter 167, a national banking association, a federally-chartered credit union, a federal savings and loan association, a federal savings bank, or any subsidiary of the above, or a bank, a trust company, savings bank, savings and loan association or credit union organized under the laws of any other state, or any subsidiary of the above, a sales finance company, as defined in section 1 of chapter 255B, and a company licensed to carry on the business of making small loans, shall engage in the business of premium finance agency unless licensed by the commissioner, as provided in section 3; provided, however, that no property and casualty insurance agent or broker, including an insurance agent or insurance broker conducting an insurance premium financing agency business under a subsidiary or different company name, who provides premium financing only to their own customers for purposes of financing payment of premiums on contracts of insurance, which contracts of insurance are exclusively limited to commercial insurance policies, shall be required to be licensed pursuant to this section or any other section of this chapter. The commissioner may adopt, amend or repeal rules and regulations, which may include an adequate capitalization requirement for sales finance companies, to aid in the administration and enforcement of this chapter.

The license shall allow the holder to maintain only 1 office from which the business may be conducted, but more than 1 license may be issued to any person. Any change of location of an office of a licensee shall require the prior approval of the commissioner. The request for relocation shall be in writing setting forth the reason or reasons for the request, and shall be accompanied by a relocation investigation fee to be determined annually by the secretary of administration and finance under section 3B of chapter 7. If an applicant has more than 1 office,

526 the applicant may obtain a license for each office from which the applicant intends to conduct the
527 business.

528 SECTION 21. Section 4 of said chapter 255C, as so appearing, is hereby amended by
529 striking out the second sentence.

530 SECTION 22. Section 4 of said chapter 255C is hereby further amended by adding the
531 following paragraph:-

532 If a licensee intends to carry on the business at any place in addition to the address on the
533 license, the licensee shall so notify the commissioner, in writing, at least 30 days prior thereto,
534 and the licensee shall pay a fee for the additional location in an amount to be determined
535 annually by the commissioner of administration under the provision of section 3B of chapter 7.
536 The license shall not be transferable or assignable and shall expire annually on a date determined
537 by the commissioner.

538 SECTION 23. Said chapter 255C, as so appearing, is hereby amended by striking out
539 section 5, and inserting in place thereof the following three sections:-

540 Section 5. The commissioner may suspend or revoke any license issued pursuant to this
541 chapter if the commissioner finds that:

542 (i) the licensee has violated any provision of this chapter or any rule or regulation
543 adopted hereunder, or any other law applicable to the conduct of its business; or

544 (ii) any fact or condition exists which, if it had existed at the time of the original
545 application for the license, would have warranted the commissioner in refusing to issue the
546 license.

547 The commissioner shall have sufficient cause to suspend or revoke a license whenever
548 the commissioner learns from the commissioner of insurance or from any other source that the
549 licensee has failed to return the full amount of a return premium to the person whose insurance
550 policy has been cancelled or to the person's assignee, as required by section 176A of chapter
551 175.

552 A licensee may surrender a license by delivering to the commissioner written notice that
553 it thereby surrenders the license, but the surrender shall not affect the civil or criminal liability of
554 the licensee for acts committed before the surrender. A revocation or suspension or surrender of
555 any license shall not impair or affect the obligation of an insured under any lawful premium
556 finance agreement previously acquired or held by the licensee.

557 No revocation, suspension or surrender of any license shall impair or affect the obligation
558 of any pre-existing lawful contract between the licensee and any person.

559 Whenever the commissioner revokes or suspends a license, the commissioner shall
560 forthwith execute in duplicate a written order to that effect, and shall file 1 copy of the order in
561 the office of the secretary of state and mail 1 copy to the licensee. A suspension or revocation of
562 a license shall not be subject to the provisions of chapter 30A.

563 Section 5A. (a) If the commissioner determines, after giving notice of and opportunity for
564 a hearing, that a licensee has engaged in or is about to engage in an act or practice constituting a
565 violation of a provision of this chapter or a rule, regulation or order hereunder, the commissioner
566 may order the licensee to cease and desist from the unlawful act or practice and take affirmative
567 action as in the commissioner's judgment will effect the purposes of this chapter.

(b) If the commissioner makes written findings of fact that the public interest will be irreparably harmed by delay in issuing an order under subsection (a) the commissioner may issue a temporary cease and desist order. Upon the entry of a temporary cease and desist order, the commissioner shall promptly notify, in writing, the licensee affected thereby that the order has been so entered, the reasons therefor, and that within 2 days after the receipt of a written request from the licensee, the matter will be scheduled for hearing to determine whether or not the temporary order shall become permanent and final. If no hearing is requested and none is ordered by the commissioner, the order shall remain in effect until it is modified or vacated by the commissioner. If a hearing is requested or ordered, the commissioner, after giving notice of and opportunity for a hearing to the licensee subject to the order, shall, by written finding of facts and conclusions of law, vacate, modify or make permanent the order.

(c) No order under this section, except an order issued pursuant to subsection (b), may be entered without prior notice of and opportunity for a hearing. The commissioner may vacate or modify an order under this section upon finding that the conditions which required the order have changed and that it is in the public interest to so vacate or modify.

Any order issued pursuant to this section shall be subject to review as provided in chapter 30A.

Section 5B. The commissioner may enforce the provisions of this chapter, or restrain any violations thereof, by filing a civil action in any court of competent jurisdiction.

SECTION 24. Section 6 of said chapter 255C, as so appearing, is hereby amended by striking out the second paragraph and inserting in place thereof the following two paragraphs:-

589 The commissioner shall preserve a full record of each examination of a licensee including
590 a statement of its condition. All records of investigations and reports of examinations by the
591 commissioner, including workpapers, information derived from the reports or responses to the
592 reports, and any copies thereof in the possession of any licensee under the supervision of the
593 commissioner, shall be confidential and privileged communications, shall not be subject to
594 subpoena and shall not be a public record under clause twenty-sixth of section 7 of chapter 4. For
595 the purpose of this paragraph, records of investigation and reports of examinations shall include
596 records of investigation and reports of examinations conducted by a financial regulatory agency
597 of the federal government and any other state, and of any foreign government which are
598 considered confidential by the agency or foreign government and which are in possession of the
599 commissioner. In any proceeding before a court, the court may issue a protective order to seal the
600 record protecting the confidentiality of any such record, other than any such record on file with
601 the court or filed in connection with the court proceeding, and the court may exclude the public
602 from any portion of the proceeding at which any such record may be disclosed. Copies of such
603 reports of examination shall be furnished to a licensee for its use only and shall not be exhibited
604 to any other person, organization or agency without prior written approval by the commissioner.
605 The commissioner may, in the commissioner's discretion, furnish to regulatory agencies of the
606 federal government, of other states, or of foreign countries, and any law enforcement agency, the
607 information, reports, inspections and statements relating to the licensees under the
608 commissioner's supervision.

609 The commissioner, or the commissioner's examiners or other assistants as the
610 commissioner may designate, may summon the directors, officers or agents of a licensee, or any
611 other witnesses, and examine them relative to the affairs, transactions and condition of the

licensee, and, for that purpose, may administer oaths. Whoever, without justifiable cause, refuses to appear and testify when so required or obstructs the person making the examination in the performance of their duty, shall be punished by a fine of not more than \$1,000 or by imprisonment for not more than 1 year.

SECTION 25. Section 9 of said chapter 255C of the General Laws, as so appearing, is hereby amended by striking out the first paragraph.

SECTION 26. Said chapter 255C, as so appearing, is hereby amended by adding after section 23 the following two sections:-

Section 24. (a) Whenever the commissioner finds that any licensee or exempt person under section 2 of this chapter has violated any provision of this chapter or any rule or regulation adopted thereunder, or any other law of the Commonwealth applicable to the conduct of the business of a premium finance agency, the commissioner may, by order, in addition to any other action authorized under this chapter or any rule or regulation made thereunder, impose a penalty upon the person which shall not exceed \$5,000 for each violation, up to a maximum of \$100,000 for the violation plus the costs of investigation. The commissioner may impose a penalty which shall not exceed \$5,000 for each violation of this chapter, or any rule or regulation adopted thereunder, by a person other than a licensee or exempt person under section 2 of this chapter, plus the costs of investigation.

(b) In addition to any other action authorized under this chapter or any rule of regulation made thereunder, whoever violates any provision of this chapter, or knowingly makes any incorrect statement of a material fact in any application, report or statement filed pursuant to this chapter, or knowingly omits to state any material fact necessary to give the commissioner any

634 information lawfully required, may be punished by imprisonment for not more than 6 months.
635 The penalty provision of this section shall be in addition to, and not in lieu of, any other
636 provision of law applicable to a licensee or other person for violating any provision of this
637 chapter or any rule or regulation made thereunder.

638 (c) Nothing in this section shall limit the right of any individual or entity who has been
639 injured as a result of any violation of this chapter by a licensee, or any person other than a
640 licensee or exempt person under section 2 of this chapter, to bring an action to recover damages
641 or restitution in a court of competent jurisdiction.

642 (d) Any findings or order issued by the commissioner pursuant to this section shall be
643 subject to review as provided in chapter 30A.

644 Section 25. (a) Whenever the commissioner determines that any person has, directly or
645 indirectly, violated any section of this chapter or any rule or regulation adopted thereunder,
646 applicable to the conduct of the business of a premium finance agency; or any order issued by
647 the commissioner under this chapter or any written agreement entered between the licensee and
648 the commissioner; the commissioner may serve upon the person a written notice of intention:

649 (1) to prohibit the person from performing in the capacity of a principal employee on
650 behalf of any licensee for a period of time that the commissioner deems necessary;

651 (2) to prohibit the person from applying for or obtaining a license from the commissioner
652 for a period up to 36 months following the effective date of an order issued under subsection (b)
653 or (c); or

(3) to prohibit the person from any further participation, in any manner, in the conduct of the affairs of a premium finance agency in Massachusetts or to prohibit the person from being employed by, an agent of, or operating on behalf of a licensee under this chapter or any other business which requires a license from the commissioner.

(b) A written notice issued under subsection (a) shall contain a written statement of the facts that support the prohibition and shall give notice of an opportunity for a hearing to be held thereon. The hearing shall be fixed for a date not more than 30 days after the date of service upon the commissioner of the request for a hearing. If the person fails to submit a request for a hearing within 20 days of service of notice under subsection (a), or otherwise fails to appear in person or by a duly authorized representative, the party shall be deemed to have consented to the issuance of an order of prohibition in accordance with the notice.

(c) In the event of a consent under subsection (b), or if after a hearing the commissioner finds that any of the grounds specified in the notice have been established, the commissioner may issue an order of prohibition in accordance with subsection (a) as the commissioner finds appropriate.

(d) An order issued under subsection (b) or (c) shall be effective upon service upon the person. The commissioner shall also serve a copy of the order upon the licensee of which the person is an employee or on whose behalf the person is performing. The order shall remain in effect and enforceable until it is modified, terminated, suspended, or set aside by the commissioner or a court of competent jurisdiction.

(e) Except as consented to in writing by the commissioner, any person who, pursuant to an order issued under subsection (b) or (c), has been prohibited from participating in whole or in

part in the conduct of the affairs of a premium finance agency in Massachusetts may not, while the order is in effect, continue or commence to perform in the capacity of a principal employee, or otherwise participate in any manner, if so prohibited by order of the commissioner, in the conduct of the affairs of:

(1) any licensee under this chapter;

(2) any other business which requires a license from the commissioner; and

(3) any bank, as defined under section 1 of chapter 167, or any subsidiary thereof.

SECTION 27. Section 1 of chapter 255D of the General Laws, as so appearing, is hereby amended by striking out the definition of "Sales finance company" in lines 98 through 105, inclusive, and inserting in place thereof the following definition:-

"Sales finance company",

(1) a bank as defined in section 1 of chapter 167, or a national banking association or a savings and loan association, federal savings bank, federal savings and loan association, federal credit union, or any bank, trust company, savings bank, savings and loan association or credit union organized under the laws of any other state of the United States, or any subsidiary of the above,

(2) any person other than an installment seller engaged, in whole or in part, in the business of purchasing retail installment sale agreements or revolving credit agreements of 1 or more retail sellers. The term "sales finance company" shall not include the pledgee of an aggregate number of such agreements to secure a bona fide loan thereon.

SECTION 28. The first paragraph of section 2 of said chapter 255D, as so appearing, is hereby amended by striking out the fourth and fifth sentences.

SECTION 29. Said section 2 of said chapter 255D, as so appearing, is hereby further amended by striking out the ninth sentence.

SECTION 30. Section 3 of said chapter 255D, as so appearing, is hereby amended by inserting after the first paragraph the following two paragraphs:-

The commissioner shall preserve a full record of each examination of a licensee including a statement of its condition. All records of investigations and reports of examinations by the commissioner, including workpapers, information derived from the reports or responses to the reports, and any copies thereof in the possession of any licensee under the supervision of the commissioner, shall be confidential and privileged communications, shall not be subject to subpoena and shall not be a public record under clause twenty-sixth of section 7 of chapter 4. For the purpose of this paragraph, records of investigation and reports of examinations shall include records of investigation and reports of examinations conducted by a financial regulatory agency of the federal government and any other state, and of any foreign government which are considered confidential by the agency or foreign government and which are in possession of the commissioner. In any proceeding before a court, the court may issue a protective order to seal the record protecting the confidentiality of any such record, other than any such record on file with the court or filed in connection with the court proceeding, and the court may exclude the public from any portion of the proceeding at which any such record may be disclosed. Copies of such reports of examination shall be furnished to a licensee for its use only and shall not be exhibited to any other person, organization or agency without prior written approval by the commissioner.

718 The commissioner may, in the commissioner's discretion, furnish to regulatory agencies of the
719 federal government, of other states, or of foreign countries, and any law enforcement agency, the
720 information, reports, inspections and statements relating to the licensees under the
721 commissioner's supervision.

722 The commissioner, or the commissioner's examiners, or other assistants as the
723 commissioner may designate, may summon the directors, officers or agents of a licensee, or any
724 other witnesses, and examine them relative to the affairs, transactions and condition of the
725 licensee, and, for that purpose, may administer oaths. Whoever, without justifiable cause, refuses
726 to appear and testify when so required or obstructs the person making the examination in the
727 performance of their duty, shall be punished by a fine of not more than \$1,000 or by
728 imprisonment for not more than 1 year.

729 SECTION 31. Said chapter 255D, as so appearing, is hereby amended by striking out
730 section 7 as so appearing, and inserting in place thereof the following section:-

731 Section 7. The commissioner may suspend or revoke any license issued pursuant to this
732 chapter if the commissioner finds that:

733 (i) the licensee has violated any provision of this chapter or any rule or regulation
734 adopted hereunder, or any other law applicable to the conduct of its business; or

735 (ii) any fact or condition exists which, if it had existed at the time of the original
736 application for the license, would have warranted the commissioner in refusing to issue the
737 license.

Except as provided in section 8, no license shall be revoked or suspended except after notice and a hearing thereon pursuant to chapter 30A.

A licensee may surrender a license by delivering to the commissioner written notice that it thereby surrenders the license, but the surrender shall not affect the civil or criminal liability of the licensee for acts committed before the surrender.

No revocation, suspension or surrender of any license shall impair or affect the obligation of any pre-existing lawful contract between the licensee and any person.

SECTION 32. Said chapter 255D, as so appearing, is hereby further amended by striking out section 8, as so appearing, and inserting in place thereof the following two sections:-

Section 8. (a) If the commissioner determines, after giving notice of and opportunity for a hearing, that a licensee has engaged in or is about to engage in an act or practice constituting a violation of a provision of this chapter or a rule, regulation or order hereunder, the commissioner may order the licensee to cease and desist from the unlawful act or practice and take affirmative action as in the commissioner's judgment will effect the purposes of this chapter.

(b) If the commissioner makes written findings of fact that the public interest will be irreparably harmed by delay in issuing an order under subsection (a) the commissioner may issue a temporary cease and desist order. Upon the entry of a temporary cease and desist order, the commissioner shall promptly notify, in writing, the licensee affected thereby that the order has been so entered, the reasons therefor, and that within 20 days after the receipt of a written request from the licensee, the matter will be scheduled for hearing to determine whether or not the temporary order shall become permanent and final. If no hearing is requested and none is ordered by the commissioner, the order shall remain in effect until it is modified or vacated by the

commissioner. If a hearing is requested or ordered, the commissioner, after giving notice of and opportunity for a hearing to the licensee subject to the order, shall, by written finding of facts and conclusions of law, vacate, modify or make permanent the order.

(c) No order under this section, except an order issued pursuant to subsection (b), may be entered without prior notice of and opportunity for a hearing. The commissioner may vacate or modify an order under this section upon finding that the conditions which required the order have changed and that it is in the public interest to so vacate or modify.

Any order issued pursuant to this section shall be subject to review as provided in chapter 30A.

Section 8A. The commissioner may enforce the provisions of this chapter, or restrain any violations thereof, by filing a civil action in any court of competent jurisdiction.

SECTION 33. Section 30 of said chapter 255D, as so appearing, is hereby repealed.

SECTION 34. Said chapter 255D is hereby amended by adding after section 31 the following two sections:-

Section 32. (a) Whenever the commissioner finds that any licensee or exempt person under section 2 of this chapter has violated any provision of this chapter or any rule or regulation adopted thereunder, or any other law of the Commonwealth applicable to the conduct of the business of a sales finance company, the commissioner may, by order, in addition to any other action authorized under this chapter or any rule or regulation made thereunder, impose a penalty upon the person which shall not exceed \$5,000 for each violation, up to a maximum of \$100,000 for the violation plus the costs of investigation. The commissioner may impose a penalty which

shall not exceed \$5,000 for each violation of this chapter, or any rule or regulation adopted thereunder, by a person other than a licensee or exempt person under section 2 of this chapter, plus the costs of investigation.

(b) In addition to any other action authorized under this chapter or any rule of regulation made thereunder, whoever violates any provision of this chapter may be punished by imprisonment for not more than 6 months. The penalty provision of this section shall be in addition to, and not in lieu of, any other provision of law applicable to a licensee or other person for violating section 2 or any rule or regulation made thereunder.

(c) Nothing in this section shall limit the right of any individual or entity who has been injured as a result of any violation of this chapter by a licensee, or any person other than a licensee or exempt person under section 2 of this chapter, to bring an action to recover damages or restitution in a court of competent jurisdiction.

(d) Any findings or order issued by the commissioner pursuant to this section shall be subject to review as provided in chapter 30A.

Section 33. (a) Whenever the commissioner determines that any person has, directly or indirectly, violated any section of this chapter or any rule or regulation adopted thereunder, applicable to the conduct of the business of a sales finance company; or any order issued by the commissioner under this chapter or any written agreement entered between the licensee and the commissioner; the commissioner may serve upon the person a written notice of intention:

(1) to prohibit the person from performing in the capacity of a principal employee on behalf of any licensee for a period of time that the commissioner deems necessary;

(2) to prohibit the person from applying for or obtaining a license from the commissioner for a period up to 36 months following the effective date of an order issued under subsection (b) or (c); or

(3) to prohibit the person from any further participation, in any manner, in the conduct of the affairs of a sales finance company in Massachusetts or to prohibit the person from being employed by, an agent of, or operating on behalf of a licensee under this chapter or any other business which requires a license from the commissioner.

(b) A written notice issued under subsection (a) shall contain a written statement of the facts that support the prohibition and shall give notice of an opportunity for a hearing to be held thereon. The hearing shall be fixed for a date not more than 30 days after the date of service upon the commissioner of the request for a hearing. If the person fails to submit a request for a hearing within 20 days of service of notice under subsection (a), or otherwise fails to appear in person or by a duly authorized representative, the party shall be deemed to have consented to the issuance of an order of prohibition in accordance with the notice.

(c) In the event of a consent under subsection (b), or if after a hearing the commissioner finds that any of the grounds specified in the notice have been established, the commissioner may issue an order of prohibition in accordance with subsection (a) as the commissioner finds appropriate.

(d) An order issued under subsection (b) or (c) shall be effective upon service upon the person. The commissioner shall also serve a copy of the order upon the licensee of which the person is an employee or on whose behalf the person is performing. The order shall remain in

823 effect and enforceable until it is modified, terminated, suspended, or set aside by the
824 commissioner or a court of competent jurisdiction.

825 (e) Except as consented to in writing by the commissioner, any person who, pursuant to
826 an order issued under subsection (b) or (c), has been prohibited from participating in whole or in
827 part in the conduct of the affairs of a sales finance company in Massachusetts may not, while the
828 order is in effect, continue or commence to perform in the capacity of a principal employee, or
829 otherwise participate in any manner, if so prohibited by order of the commissioner, in the
830 conduct of the affairs of:

831 (1) any licensee under this chapter;

832 (2) any other business which requires a license from the commissioner; and

833 (3) any bank, as defined under section 1 of chapter 167, or any subsidiary thereof.

834 SECTION 35. Section 8 of chapter 255E of the General Laws, as so appearing, is hereby
835 amended by adding the following paragraph:-

836 The commissioner, or the commissioner's examiners, or other assistants as the
837 commissioner may designate, may summon the directors, officers or agents of a licensee, or any
838 other witnesses, and examine them relative to the affairs, transactions and condition of the
839 licensee, and, for that purpose, may administer oaths. Whoever, without justifiable cause, refuses
840 to appear and testify when so required or obstructs the person making the examination in the
841 performance of their duty, shall be punished by a fine of not more than \$1,000 or by
842 imprisonment for not more than 1 year.